

DATA COMMENTARY · JUNE GDP

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Canada's GDP rises 0.3% in June

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THE TAKE

“The Canadian economy performed well this summer. Growth was robust in the second quarter, leaving the economy on a stronger footing going into the trade war with the US. That said, escalating tariffs and counter-tariffs will no doubt harm growth on both sides of the border heading into the third quarter. ”

— JAY ZHAO-MURRAY · CHIEF ECONOMIST · SIBLEY CREEK

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Services sector leads June expansion

The Canadian economy expanded by 0.3% in June, the third consecutive monthly gain. Breadth was modest, with just 13 of 20 sectors posting gains. Services (+0.4% m/m) drove the gain as oil and gas extraction declined, dragging the goods-producing sector lower by a tenth of a percent. July's advance figures show growth tapering off.

Leading June's gains were the wholesaling (+1.6%) and retail (+1.4%) sectors, followed by manufacturing (+0.6%), finance (+0.4%) and the public sector (+0.3%). The main downward contributor at the industry level was mining, quarrying, and oil and gas extraction (-0.4%).

Oil sands extraction falls

Within mining, quarrying and oil and gas extraction, the slowdown was mostly visible in oil & gas support activities (-9.3%) and the oil sands (-2.8%). This follows several months of atypically strong drilling and rigging activity. Extraction elsewhere rose (+1.9%), as did mining and quarrying (+5.1%), lifted by Asian and European demand for copper as well as additional gold sales to the UK (note that gold is the main limited driver of trade diversification thus far).

FIFA World Cup lifts some sectors

StatCan noted that the FIFA World Cup boosted some sectors, but not the entire hospitality and tourism industry. Information and culture (radio and TV) showed significant viewership growth, and the entertainment sector posted strong gains as well. Urban transit systems and restaurants also benefited. Hotels and flights surprisingly contracted on the whole, even as tourists flocked to Vancouver and Toronto.

Solid second quarter

All in all, June caps off a strong quarter for the Canadian economy. The economy grew 0.9% overall in Q2, with positive results across both goods and services as well as 17 of 20 sectors. This follows the 0.1% expansion in the first quarter. Clearly, the recession fears that started brewing several months ago were completely overblown. It will be difficult, however, to repeat this strong showing in the context of a new trade war with the US.

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